

would lead to a relatively quick rebound, as prices ease towards the second half of the year. India has taken several measures in the last three months to cushion the impact of the external shock.

Q: What are your views on the current account deficit and the pressure on it from the West Asia war?

A: Yes, while the war is a challenge, it should be emphasised that India's economy and exports have weathered challenges like geopolitical uncertainty and tariff issues last year. Non-petroleum and non-gems and jewellery exports grew 4.4% in FY26, while services exports grew a robust 7.9%. In April 2026, merchandise exports grew 13.78%, even excluding petroleum exports, they grew by 9%.

The trade deficit narrowed compared to April last year. The current account deficit (CAD) may increase from 0.8% in FY26 to around 2% in FY27. However, this figure may be lower depending on how oil prices behave and if peace holds in West

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Asia. Even though the CAD may expand as compared to last year, it is still contained. India can manage the CAD with higher diversified exports and reduced imports. The capital account is an issue because of lower net FII (foreign institutional investment) and FDI (foreign direct investment). However, the government is taking steps to improve foreign investment flows. RBI has recently taken various steps to attract inflows such as easing hedging costs for banks with regard to FCNR (B) deposits, incentivising ECBs by PSUs and making government bonds more attractive for foreign investors.

The number of trade agreements is now at 17 FTAs (Free Trade Agreements) and six Preferential Trade Agreements (PTAs). Recent deals cover 38 countries. FTAs can raise exports and bridge the

gap in the CAD. Similarly, they can help the capital account by promoting foreign investments.

Q: Will the gold and silver curbs, as well as fuel price hike, help address the CAD issue?

A: The government had earlier cut excise duty with a view towards shielding households against the pressures of rising oil prices. At the same time, some pass-through is happening as oil marketing companies raise prices.

Similarly, spending on gold has been discouraged. However, the concern for citizens and livelihoods has been front and centre for the government. Some adjustment in prices will help adjust demand, which will lead to economising of resources.

Q: Over the years, India's import dependency, even for non-oil, non-gold imports, has risen. In the West Asia war, India became vulnerable to supply and price shocks. Is this a cause for concern? What can be done?

A: The ongoing conflict highlights the need for a risk-management-based approach. This entails mapping and monitoring key economic vulnerabilities—particularly in areas such as energy, food, fertilisers, metals and critical minerals—and proactively addressing both supply disruptions and price volatility. This calls for a substantial strengthening of physical buffers, including an expansion of strategic petroleum reserves and creation of stockpiles for essential commodities, going beyond the conventional reliance on foreign exchange reserves and foodgrain stocks.

At the same time, reducing excessive dependence on imports is critical. This can be achieved through greater diversification of supply sources and trade routes, alongside more strategic and effective utilisation of FTAs. The government also wants to improve domestic production in strategic sectors like critical minerals, rare earths, semiconductors and chips.

Q: Manufacturing in India has not taken off despite several efforts by the government. What further reforms can be taken to boost domestic manufacturing?

A: It would be incorrect to say that manufacturing has not taken off. In absolute terms, the manufacturing sector gross value added showed double-digit growth in FY24 and FY26 and more than 9% in FY25. Manufacturing growth in the recent estimates show 10.7% growth in FY26. At the same time, India has a